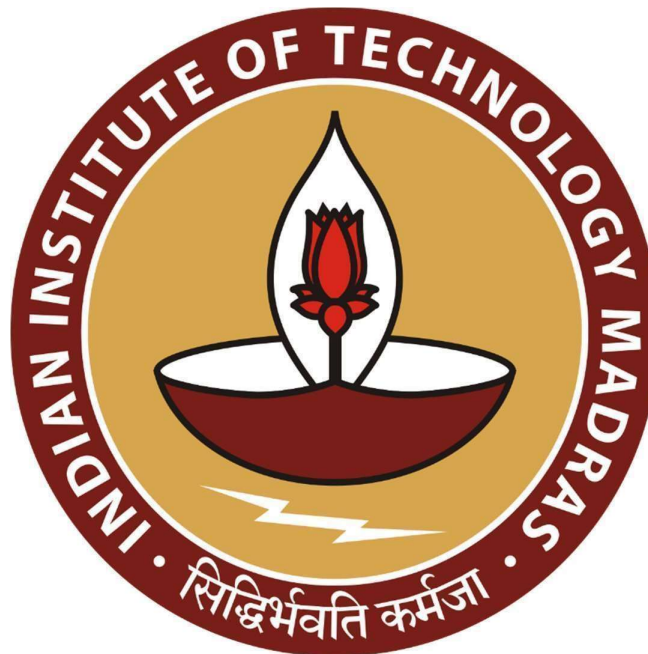


Developing a comprehensive business strategy for effective business growth

A Proposal report for the BDM capstone Project

Name: Gundavarapu Preethika Chowdary
Roll no: 24F2002054



IITM Online BS Degree Program,
Indian Institute of Technology, Madras, Chennai
Tamil Nadu, India, 600036

1 Executive Summary on the project titled “Developing a comprehensive business strategy for effective business growth”

The project that I would like to deal with mainly focuses on a cement dealership shop located in Guntur, Andhra Pradesh. It is both B2B and B2C and it belongs to manufacture sector. The major challenges faced, include financial challenges, environmental issues and non-profitability due to heavy competition from other big companies.

The project is titled as "DEVELOPING A COMPREHENSIVE BUSINESS STRATEGY FOR EFFECTIVE BUSINESS GROWTH" as this project mainly focuses on finding solutions for some of the problems faced by the cement dealership business which may help the business in its growth.

These problems can be addressed by developing customer credit system, employee management system, environmental management system.

The expected outcome is to help the business overcome the non-profitability and develop sustainability, reduce environmental degradation caused by the business and also provide some ways to use the financial resources wisely.

2 Organization Background

The business that I am working with, in this project is a cement dealership business which is located in Guntur, Andhra Pradesh. It is a new dealership which was started in August, 2024 by a person named M.Veeraih. The owner has vast 30 years experience in this industry. He started his career as sales executive in Suvarna cements and resigned as sales manager from Bhavya cements. Later he started his own business Veeraiah and co. This dealership shop has achieved special incentive slab of Ultra Tech for assessment year 2024-2025 and also achieved Ultra Tech yearly target (1200 Tones per year), KCP yearly target (700 tones target).

3 Problem Statement

3.1 TO DETERMINE THE FINANCIAL CHALLENGES IN CEMENT DEALERSHIP BUSINESS

Cement is heavy product with high transportation costs and also there were credit and debit risks if the customer fail to pay the payments.

3.2 TO REDUCE THE ENVIRONMENTAL EFFECTS CAUSED DUE TO CEMENT INDUSTRY

As cement is made up of fine particles, it produces dust when it was tried to shift from one place to other.

3.3 TO IMPROVE NON-PROFITABILITY DUE TO LARGE COMPETITION

There was huge competition in cement industry with thin profit margin.

4 Background of the Problem

The major causes of the above mentioned problems include transportation costs, government regulations on high taxes, environmental regulations and high competition from large competitors, less profit, risks of credit and debit delay from the customers.

Internal challenges:

1. Digital Marketing:

This includes learning to adopt new technology which requires investment.

2. Customer credit management

There might be risks of delay or no pay from customers.

External challenges:

1. Fluctuations in cost:

There is a frequent fluctuation in cost of cement.

2. Competition from other dealers:

There is a huge competition from other big dealers.

5 Problem Solving Approach

First, I would define the problem clearly. This helps me to be specific about the problem. Next, I would look at root causes of the problem. This helps to solve the problem from its roots and there would be high chance for problem to not occur again and again and also analyzing the problem from the roots, helps to address the root cause of the problem and find the effective solution without unnecessary steps.

For example, root causes for the financial challenges in cement dealership business include the high transportation costs since cement is a dense material.

My next step is to solve the problem using SWOT analysis. For example, considering the above problem, one of the ways to solve the problem includes finding shorter routes which helps to decrease the distance and manage the finance.

I would like to use SWOT analysis to approach the problem-solving in this project. SWOT stands for Strengths, Weakness, Opportunity, threats. This analysis provides a structured way to look through both the strengths and weakness of the business. This helps the business to maintain its strengths at the same time develop its weakness and grab the opportunity to grow effectively. This method also helps us to look at the threats while making a move, which helps the business to be more careful while taking a decision.

In such a way I would eliminate waste and develop optimized processes to solve the problem effectively which provides the business some paths to grow.

6 Expected Timeline

6.1 Work Breakdown Structure:

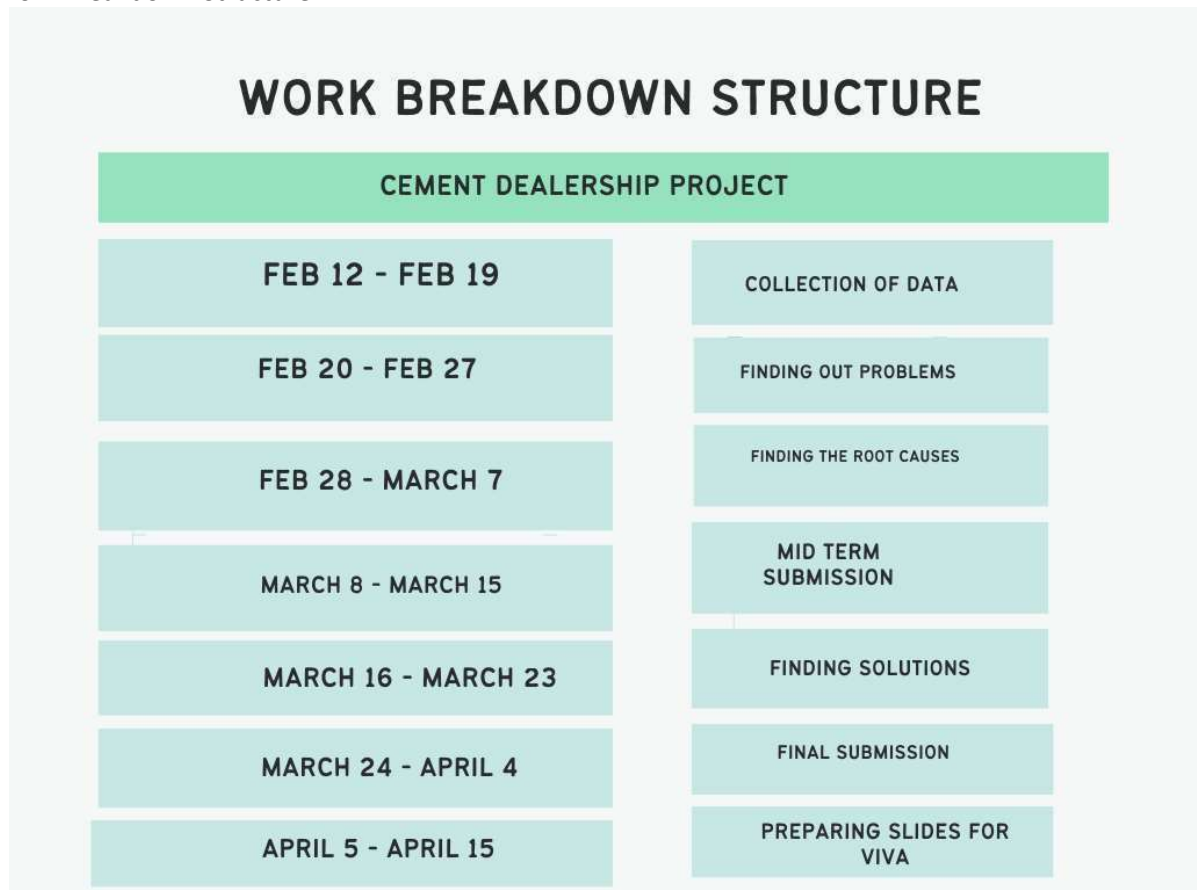


Figure 1: Work Breakdown Structure of the project

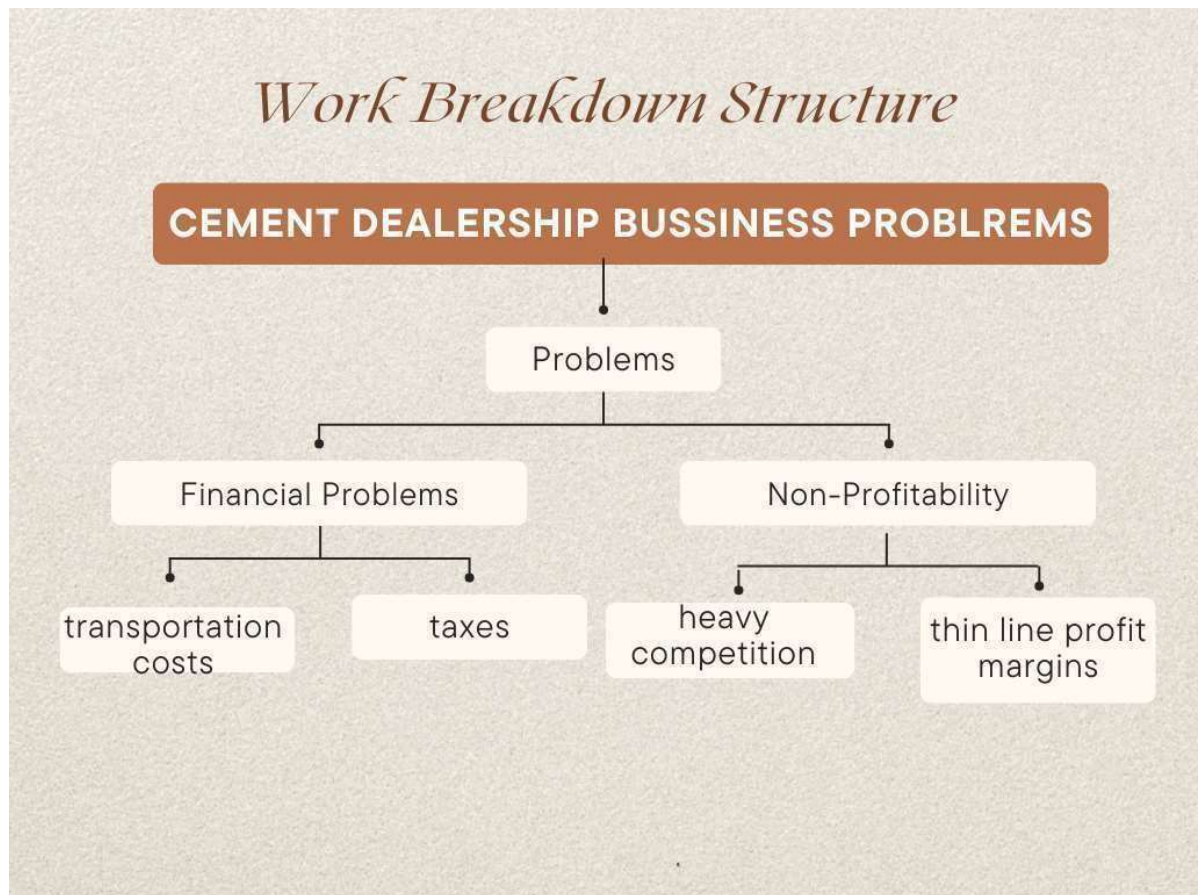


Figure 2: Work Breakdown Structure of the problems in the Project

6.2 Gantt chart



Figure 3: Gantt chart of the Project

7 Expected Outcome

- 7.1 Increment in profit margin with reduced transportation costs.
- 7.2 Reduction in environmental degradation, with better regulations.
- 7.3 Improvised plan to manage financial challenges.